FRVO

FRVO N/A

Buy **$29.05** ▼ 0.63%

12M Price Target **$42.00**

52-Week Range $27.80 – $42.65

Market Cap $8.56B

FRVO: Geothermal Selloff Overdone as AI Power Demand Explodes

WHAT HAPPENED

- FRVO is sitting at $29.05, basically at the bottom of its 52-week range ($27.80–$42.65). It just got clobbered — down from $32.48 on June 26 to $29.23 on June 30 (that's roughly -10% in three days) on huge volume. Translation: somebody big was dumping shares, likely tied to the earnings miss Barron's flagged on June 22.
- But here's the disconnect — the news flow is actually GOOD. Nvidia partnership on a geothermal "digital twin" (basically an AI simulation of their power plants), RBC confirming the Utah 33 MW project is on track, and Bloomberg running stories about AI's energy crunch driving investors to hunt for the next winner. The stock is trading like the story is broken; the fundamentals say it isn't.

WHY IT MATTERS

This looks like a classic post-earnings-miss overreaction on a story stock. Fervo is pre-revenue at scale — they're building geothermal plants that won't fully monetize until 2026-2027 — so an earnings "miss" is almost meaningless; what matters is project execution and offtake deals (contracts to sell the power). The Nvidia tie-up is the real signal: hyperscalers (Google, Microsoft, Amazon, Meta) are DESPERATE for firm, 24/7 clean power for AI data centers, and geothermal is one of the few options that isn't intermittent like solar/wind. If FRVO delivers the Utah 33 MW on schedule this year, it validates their enhanced geothermal tech and every hyperscaler in America becomes a potential customer.

POLICY & POLITICAL WATCH

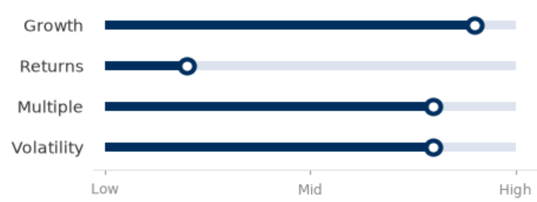
Geothermal is one of the few energy sectors with genuine bipartisan support — Republicans like it because it's baseload power (always on, like natural gas) and uses oil-and-gas drilling expertise; Democrats like it because it's zero-carbon. The Energy Permitting Reform Act discussions in Congress could cut geothermal project timelines dramatically — if that passes, FRVO's pipeline of projects gets a huge runway. Watch also for the current administration's stance on IRA (Inflation Reduction Act) tax credits: geothermal gets the 30% Investment Tax Credit, and if Republicans preserve it for "firm" clean energy while gutting solar/wind subsidies (a real possibility being debated), FRVO becomes a relative winner.

IS IT EXPENSIVE?

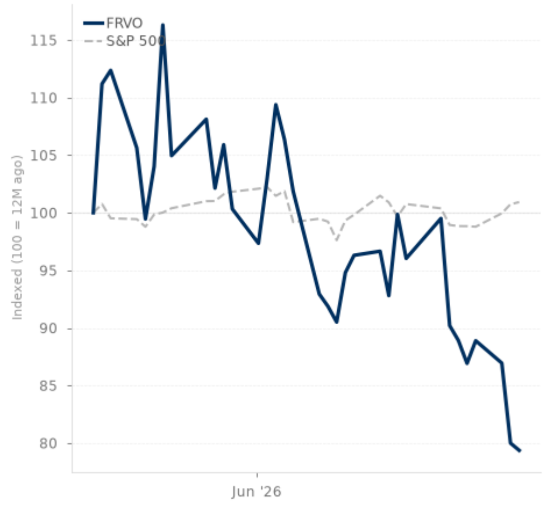
Key Data

Price (USD)	**$29.05**
12M Price Target	**$42.00**
Upside / (Downside)	**+44.6%**
Market Cap	**$8.56B**
FY2026E Revenue	**$285M**
FY2027E Revenue	**$640M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



AI-Generated Pre-Market Brief | 2026-07-01 15:23 UTC

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$34.00**	$31.00	**$26.00**
6 Months	**$42.00**	$36.00	**$24.00**
1 Year	**$55.00**	$42.00	**$22.00**
2 Years	**$75.00**	$52.00	**$20.00**
5 Years	**$140.00**	$85.00	**$18.00**
10 Years	**$280.00**	$150.00	**$12.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+3.37%) and Financials (+2.05%) — risk-on tape, money flowing to growth and rate-sensitive names as markets bet on Fed easing later this year. AI-adjacent power/infrastructure is quietly heating up as the "picks and shovels" trade of the AI boom.

COOLING OFF: Traditional renewables (solar/wind) are getting squeezed by policy uncertainty on IRA credits and cheap Chinese solar tariff fights. Real Estate flat on rate confusion.

ROTATION WATCH: Money is rotating from "AI applications" (software) toward "AI enablers" — the chips, the power, the cooling. FRVO sits in the power bucket, which is the least crowded corner of that trade.

RELATED PLAY: If you believe AI power demand is real, look at Vistra (VST), Constellation (CEG), and Talen (TLN) — nuclear/gas utilities already signing hyperscaler deals. They're the "already working" version of the FRVO thesis.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Nuclear + gas fleet signing direct data center power deals — proving hyperscalers will pay premium prices for firm power
- CEG (Constellation): Microsoft's Three Mile Island deal reset the whole clean-firm-power market; stock has been a monster

FRVO CONTEXT: FRVO is badly LAGGING its clean-firm-power peers because it's still pre-scale — VST and CEG are cash-flowing today, FRVO is spending. This is exactly why the setup is interesting: if execution holds, FRVO catches up violently. If it doesn't, the peers keep winning without them.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — the setup is compelling at 52-week lows with a real catalyst pipeline, but this is a story stock and execution risk is genuine

POSITION SIZE: 2-4% — small enough that a 50% drawdown doesn't ruin your year, big enough to matter if it works

ENTRY POINTS: Right here at $28-29 is the low end of the range; I'd scale in and add if it flushes to $26 on a bad tape day

TIME HORIZON: 12-24 months — the catalyst is Utah coming online plus a hyperscaler offtake announcement

WHEN TO BAIL: Utah project delays past 2026, a dilutive equity raise below $25, or the Nvidia partnership goes quiet with no follow-up news by year end

HEDGING: Keep the position small enough that you don't need a hedge — that's the cleanest protection for a volatile name like this. If you want to hedge, pair it with a short on an overvalued pure-play solar name where policy risk is going the other way.